Portugal's Economic and Human Development: A Century of Transformation

Task 7 — AID Project 2026

Group 29

A. How did Portugal's GDP per capita evolve since 1900? Which decades recorded the highest growth? What historical events explain the major turning points?

Portugal's GDP per capita increased from approximately 2,075 in 1900 to 28,992 in 2022 (2011 international dollars), although this growth was far from continuous. During the early 20th century, progress was relatively slow, with a significant decline during World War I and the 1918 influenza pandemic. The 1920s and 1930s were more volatile, with sharp annual rebounds in 1927 (+16.1%), the year that followed the start of a military dictatorship, and 1937 (+15.4%), following a substantial public investment plan.

Growth became much more sustained after World War II, particularly during the 1950s–1970s. The 1960s recorded a exceptional decade-level increase (+61.2%), followed by the strongest decade-level increase in the 1970s (+72.22%). However, GDP per capita fell sharply in 1975 (-7.5%), coinciding with the Carnation Revolution (April 25th), decolonization, the return of Portuguese citizens from Africa and economic nationalizations.

In subsequent decades, GDP per capita generally continued to increase, although growth slowed during the 2000s and was interrupted by the global financial crisis in 2008 and the sovereign debt crisis of 2011–2013. The COVID-19 pandemic caused another major decline in 2020 (-8.4%), followed by a strong recovery in 2021 and 2022 (+5.6% and +6.8%, respectively). Overall, Portugal experienced substantial long-term economic growth, punctuated by periods of political instability, economic crisis and external shocks.

B. How does Portugal compare with Spain, France, Germany, Belgium, Italy, Ireland and Greece across the 20th and 21st centuries?

Portugal's position within Western Europe is best described as a long process of catching up, but from a relatively low starting point. In GDP per capita, Portugal remained below the richer Western European economies — especially France, Germany and Belgium — throughout most of the 20th and 21st centuries. The income gap reflected Portugal's comparatively low initial level of economic development and its slower convergence during the first half of the 20th century. After World War II, and especially from the 1950s to the 1970s, Portugal experienced a stronger growth phase that reduced part of the gap with Western Europe, although the 1975 shock interrupted this trajectory.

Compared with Spain, Italy and Greece, Portugal followed a relatively similar development path, although the differences between these countries varied over time. Spain and Italy generally maintained higher GDP per capita than Portugal throughout much of the period. Greece is a closer comparison, with periods of economic growth followed by significant disruptions, particularly during

the debt crisis after 2008. Regarding Ireland, Portugal's GNI per capita was relatively close to Ireland's in the initial years covered by the data. However, the gap widened considerably from the late 20th century onward as Ireland experienced rapid growth in GNI per capita.

Population trends show that Portugal's demographic growth was not especially large compared with the other Western European countries. Its population increased over the century, but the growth became more stagnant towards the end of the period. In this respect, Portugal is closer to countries such as Belgium, Greece and Ireland than to the larger economies like France, Germany, Italy or Spain.

In terms of social development, Portugal broadly followed the wider Western European trend of improving living standards and human development. Life expectancy increased considerably over time, from the lowest value of all the countries in the comparison. This progress substantially narrowed the gap with Western Europe and demonstrates that social convergence accompanied economic modernization. Urbanization followed a similar pattern: Portugal initially had one of the lowest urban population shares among the countries considered, but its urban population share increased over time. Nevertheless, comparisons of urbanization levels should be interpreted with some caution because national definitions of urban population can differ.

Finally, the sectoral structure suggests that Portugal broadly followed the Western European transformation from an agriculture-based economy towards a service-oriented economy. Agriculture lost importance, while services became dominant, and industry/manufacturing followed the general European pattern of relative decline or stabilization as economies matured.

Overall, Portugal experienced substantial social progress and partial economic convergence with Western Europe, but it did not fully close the income gap with the richer core economies. Spain and Italy provide useful comparisons for its economic development, while Greece offers a particularly relevant comparison in terms of economic performance and periods of crisis.

C. Did Portugal converge with or diverge from Western Europe? When were the strongest convergence periods?

Overall, Portugal converged with Western Europe, but only partially and unevenly. Its GDP per capita rose from about 54% of the Western European average in 1900 to about 72% in 2022 (Figure 1), and almost all of that gain came after 1940. Between 1900 and 1940 the ratio fluctuated between 43% and 54% with no upward trend.

The largest jump came in 1940–1946, from 46% to 69%. This was mostly a statistical effect rather than real catch-up. Portugal stayed neutral in WWII and profited from wolfram exports, but Figure 2 shows that its GDP per capita grew only modestly. Meanwhile, the Western European average fell from about 5,950 to 4,400 as the war economies collapsed. Once the Marshall Plan drove reconstruction, the ratio fell back to 53% by 1958.

Genuine convergence happened in two periods. The first was 1959–1973 (53% to 71%), fastest after 1969. It was driven by the EFTA membership in 1960, new heavy industry, Caetano's liberalisation and the 1972 free trade agreement with the EEC. It ended with the 1973 oil crisis, the Carnation Revolution, decolonisation and the 1975 nationalisations. The second, and strongest in the democratic era, was 1985–1993 (66% to a peak of 77.5%). It followed EEC accession in 1986, structural funds, privatisation and foreign investment such as Autoeuropa.

The euro did not bring further convergence. The ratio declined slowly from the mid-1990s to about 67% by 2006, a fall that continued through euro adoption in 1999 and the 2002 changeover. Deindustrialisation, stagnation from 2003 and later the Troika bailout all contributed. Since 2015

Portugal has recovered modestly to 72%, helped by tourism and the post-COVID rebound. Two caveats apply: the benchmark includes poorer Spain and Greece, and Ireland's inflated GDP raises the average after 2015.

D. How do Poland, Czechia, Hungary, Romania, Estonia, Latvia and Lithuania compare with Portugal after their post-communist transitions (1990 onward)?

After 1990 the Central/Eastern European and Baltic countries converged rapidly with Portugal, and several overtook it. In 1990 Portugal's GDP per capita (about 17,000) was ahead of all of them except Estonia, while Poland and Romania were at roughly half its level (Figure 1). After the early-1990s transition collapse, which was deepest in the Baltics after the Soviet break-up, they grew much faster than Portugal, especially after EU accession in 2004 (2007 for Romania). Portugal, meanwhile, stagnated through the 2000s and the Troika years. Czechia overtook Portugal around 2008, followed by Poland, Estonia, Lithuania and Hungary by 2022. In nominal GNI per capita, however, only Czechia and Estonia are ahead of Portugal (Figure 4), because the PPP-based Maddison figures adjust for lower Eastern European price levels.

Portugal still leads in wellbeing, with the highest life expectancy (74 to 81.5 years). The Baltics suffered a mid-1990s mortality crisis and remain 4–7 years behind (Figure 5). Structurally, the transition economies kept a larger industrial base, with Czechia's industry at about 29% of GDP against 19% in Portugal (Figures 7 and 8). This shows up in trade: Czechia and Hungary run surpluses, while Portugal ran deficits of 7–11% of GDP until 2012 (Figure 2). Finally, Romania, Lithuania and Latvia lost 16–29% of their population through emigration, which inflates their per-capita gains (Figure 3).